leased Rs 95,082 crore to the states as their share of the divisible tax pool, thanks to the robust tax collections. This was twice the monthly devolution as per budget estimates. Uttar Pradesh, media reports say, received the largest share (Rs 17,057 crore), followed by Bihar (Rs 9,563 crore), Madhya Pradesh (Rs 7,464 crore), West Bengal (Rs 7,153 crore) and Maharashtra (Rs 6,006 crore). Tax devolution to states is done in 14 instalments in a year and adjustments as per the revised estimate are usually made in March. But the question is: how efficiently are the states using the money?



"THERE'S ABSENCE OF A DIALOGUE BETWEEN CENTRAL AND STATE OFFICIALS AFTER THE EXPENSE HAS BEEN BUDGETED. THE PACE OF WORK AT BOTH ENDS ALSO DIFFERS VASTLY"

– S.K. JOSHI

Former Chief Secretary, Telangana

STATES SLIPPING

States execute the major projects the Centre plans and funds. For 2022-23, the Centre will allocate Rs 1 lakh crore to the states to catalyse overall investments in the economy. These 50-year, interest-free loans will be over and above the usual borrowings allowed to the states. While several central schemes are running behind schedule, states are responsible for much of the problem, say experts. Data from the Reserve Bank of India's state budget compendium, published in November, shows states to have lagged significantly in execution of programmes, resulting in a huge gap between budgeted expenditure and the actual amount spent. Budgeted expenditure is for the entire year while revised estimates are projections on the basis of data for nine months of the fiscal. These projections are often higher than the budgeted expenditure.

However, when the actual expenditure is finally produced, it shows a huge shortfall. This can be gauged by a fall in the states' budgeted deficit. A deficit occurs when government expenditure exceeds revenues from taxes and other sources. A higher budget deficit means the government has spent more than its revenue by undertaking borrowings. However, a lower budget deficit is a concern as it denotes less spending by the government. The RBI data shows that at 3.6 per cent of the GDP in 2021-22, the states' budgeted deficit is 1.1 per cent below the revised estimate of 4.7 per cent of 2020-21. "Final deficits have always been lower than revised estimates, and often lower than budgeted estimates too," says Neelkanth Mishra, co-head of Asia Pacific Strategy and India Equity Strategist for Credit Suisse. "Lower-than-budgeted deficits are mostly due to an inability to spend, made worse by lockdowns."

In the absence of a state-wise break-up of the budget deficit in the RBI data, it is difficult to ascertain which states have slipped the most. Another way to gauge how little states have spent is through the cash balance held by the government. State governments cannot bank with the RBI, but they can buy zero coupon bonds issued by the Centre using surplus cash. The Centre parks this money with the RBI. Mishra says that data points to about Rs 2.7 lakh crore of surplus cash parked by the Centre with the RBI at

